

Replication Results

Structural parameter estimates and standard errors

Table 1: Replication results

IV			
	g	τ	y
g	1.000	0.249 (0.159)	-0.433 (0.656)
τ	-0.133 (0.382)	1.000	2.172 (1.006)
y	0.206 (0.119)	-0.052 (0.070)	1.000
Overidentified GMM			
	g	τ	y
g	1.000	0.209 (0.144)	0.257 (0.484)
τ	0.235 (0.205)	1.000	0.144 (0.547)
y	0.249 (0.078)	0.291 (0.057)	1.000

Table 2: Shock-Instrument Correlations

IV			
	$\hat{\epsilon}_{g,t}$	$\hat{\epsilon}_{\tau,t}$	$\hat{\epsilon}_{y,t}$
$z_{g,t}$	0.202	0.002	-0.001
$z_{\tau,t}$	0.005	0.299	0.001
$z_{y,t}$	0.001	-0.001	0.289
Overidentified GMM			
	$\hat{\epsilon}_{g,t}$	$\hat{\epsilon}_{\tau,t}$	$\hat{\epsilon}_{y,t}$
$z_{g,t}$	0.202	-0.001	0.006
$z_{\tau,t}$	0.005	0.299	0.003
$z_{y,t}$	0.007	0.002	0.289